FREE FINANCING GUIDE

Fannie Mae & Freddie Mac Multifamily Loan Guide

Why 2026 Brought Record Agency Capacity, What Current Rates and Leverage Look Like, and the Metrics That Drive Approvals

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Why Agency Multifamily Financing Is a Genuine Benchmark

Fannie Mae and Freddie Mac exist to keep permanent capital flowing to stabilized apartment properties, at scale and on standardized terms that smaller balance-sheet lenders can't always match. 2026 brought a genuinely significant increase in how much capacity the Agencies have to deploy, even as pricing continues to vary meaningfully by loan size and program.

- **2026 purchase caps just rose to record levels.** FHFA set each Agency's 2026 multifamily loan purchase cap at $88 billion — $176 billion combined — up $15 billion (about 20.5%) from 2025's $73 billion caps, with at least 50% of each Agency's multifamily business required to support mission-driven affordable housing.
- **Large-balance execution prices meaningfully below small-balance.** As of August 20, 2026, Freddie Mac loans of $10 million or more price around 5.81% (5-year fixed), while loans between $2 million and $10 million price closer to 6.15% for the same term — a real pricing advantage for larger, institutional-quality deals.
- **Non-recourse execution is standard across both Agencies.** Most agency loans close non-recourse with standard "bad acts" carve-outs, a genuine structural advantage over the recourse debt typical of bank and bridge financing.
- **Amortization runs long, keeping debt service manageable.** Both Agencies offer amortization schedules of up to 30 years, which can meaningfully lower monthly debt service compared to the 20- to 25-year schedules common on conventional bank permanent loans.
- **Interest-only options exist for lower-leverage deals.** Freddie Mac offers up to 10 years of interest-only payments on loans at 65% LTV or below, a meaningful cash-flow lever for well-capitalized sponsors.

That said, rates and leverage differ by Agency, program, and loan size. Fannie Mae multifamily rates currently run roughly 5.96% to 6.51% across 5- to 30-year fixed terms, while Freddie Mac's conventional program runs lower, at roughly 5.70% to 5.94%. Maximum LTV generally caps at 80% for purchases, dropping to 75% with cash-out refinancing, and minimum DSCR runs 1.20x to 1.25x depending on the program. Freddie Mac's minimum loan size is $1.5 million, requiring at least five residential units and stabilized occupancy — agency execution rewards clean, stabilized properties with a documented operating history, not turnaround stories.

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2026 Market Outlook for Fannie Mae / Freddie Mac Financing

Agency multifamily financing enters the second half of 2026 with expanded purchase capacity and a rate environment that continues to reward loan size and leverage discipline. The following figures outline where the market stands:

- FHFA set each Agency's 2026 multifamily loan purchase cap at $88 billion — $176 billion combined — up $15 billion (about 20.5%) from 2025's $73 billion caps, with at least 50% of each Agency's multifamily business required to support mission-driven affordable housing; workforce housing loans are exempt from the caps.

  Source: FHFA, U.S. Federal Housing Announces 2026 Multifamily Loan Purchase Caps for Fannie Mae and Freddie Mac, November 24, 2025; ConnectCRE

- Freddie Mac pricing as of August 20, 2026: Small Balance Loans ($2 million–$10 million) price 6.15% to 6.42% across 5- to 15-year fixed terms, at up to 80% LTV and 1.25x minimum DSCR; Large Balance loans ($10 million+) price meaningfully lower, at 5.81% to 6.00% over the same term range, at up to 80% LTV on purchases (75% on refinances).

  Source: SelectCommercial.com, Freddie Mac Multifamily Loan Rates, updated August 20, 2026

- Fannie Mae multifamily rates run 5.96% to 6.51% across 5- to 30-year fixed terms with 30-year amortization, up to 80% LTV (75% with cash-out) and 1.25x minimum DSCR; Freddie Mac's conventional program runs lower, at 5.70% to 5.94%, with 10 years of interest-only available at 65% LTV and below.

  Source: ApartmentLoanStore.com, Fannie Mae and Freddie Mac Multifamily Loan Rates, August 20, 2026

- Freddie Mac's minimum loan size is $1.5 million, requiring at least five residential units and stabilized occupancy and cash flow, along with solid borrower credit history and post-closing liquidity.

  Source: SelectCommercial.com, 2026

- Both Agencies continue to price large-balance, institutional-quality deals more aggressively than small-balance loans, and both maintain non-recourse execution with standard carve-outs as the default structure for qualifying sponsors.

  Source: SelectCommercial.com; ApartmentLoanStore.com, 2026

Bottom line for 2026: Agency multifamily financing enters the second half of 2026 with genuinely expanded capacity — combined purchase caps up 20.5% to $176 billion — and continued structural advantages: non-recourse execution, amortization up to 30 years, and interest-only options for lower-leverage deals. But pricing still rewards scale, with large-balance loans pricing 30 to 40 basis points below small-balance execution, and the underwriting bar remains centered on stabilized occupancy, clean trailing operating history, and sponsor experience. Borrowers who show up with a complete, standardized package move fastest through Agency channels.

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Critical Metrics for Fannie Mae / Freddie Mac Financing

Agency underwriting is standardized, but it is unforgiving of properties or sponsors that fall outside guidelines. The following metrics most often determine whether a request moves forward:

1. **Occupancy and Property Stabilization**
   Strong, stabilized occupancy is expected for standard permanent execution; properties in lease-up or with meaningful vacancy generally don't qualify. **n/a — stabilized occupancy required**

2. **Debt Service Coverage Ratio**
   The trailing operating performance measured against proposed debt service, which sets the ceiling on proceeds. **1.20x–1.25x minimum, depending on Agency and program**

3. **Loan-to-Value**
   Maximum leverage available, which steps down for cash-out refinances.
   up to 80% (purchase); up to 75% (cash-out refinance)

4. **Rate by Agency, Program, and Loan Size**
   Pricing varies meaningfully by Agency, whether the loan is small- or large-balance, and the term selected. **Freddie Mac 5.70%–6.42% (by size/term); Fannie Mae 5.96%–6.51% (August 2026)**

5. **Loan Size**
   Minimum loan size and unit-count thresholds that determine program eligibility.
   $1.5M minimum (Freddie Mac SBL); 5+ residential units required

6. **Amortization and Term**
   Structural terms that shape monthly debt service and refinance risk.
   up to 30-year amortization; 5–30 year fixed terms available

7. **Sponsor Experience and Financial Strength**
   Multifamily ownership and management track record, credit, and post-closing liquidity.

These metrics form the practical filter that separates Fannie Mae / Freddie Mac financing requests that move smoothly through underwriting from those that stall.

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Practical Framework & Getting It Right the First Time

Pre-Submission Checklist

Before approaching Agency lenders, confirm:

- [ ] Trailing 12-month operating statements are organized
- [ ] Current, detailed rent roll is prepared
- [ ] Property condition assessment or recent inspection information is available
- [ ] Borrower/sponsor experience and financial statements are current
- [ ] Existing debt schedule is prepared (for refinances)
- [ ] Basic market and comparable rent information is gathered
- [ ] Entity documents and organizational structure are current
- [ ] Any specialized unit or occupancy data required by the specific program is documented

Common Reasons Fannie Mae / Freddie Mac Financing Requests Underperform or Get Declined

- Occupancy or trailing cash flow falls short of stabilization requirements
- DSCR or LTV requested exceeds program limits for the loan size or execution tier
- Incomplete or inconsistent operating statements and rent roll
- Insufficient sponsor multifamily ownership or management experience
- Working with a lender that isn't an active DUS or Optigo originator, slowing or complicating execution

Final Perspective

Agency multifamily financing in 2026 remains a genuine benchmark — purchase capacity just expanded 20.5% to $176 billion combined, non-recourse execution and 30-year amortization remain standard, and large-balance loans continue to price meaningfully below small-balance execution. But because the Agencies underwrite to standardized guidelines, the deals that close most smoothly are the ones where the property's stabilization, the rent roll, and the sponsor's track record are all clean and complete before the application goes in.

High-level knowledge of how these loans work is valuable. Turning that knowledge into a funded transaction still requires the right preparation and the right lending relationships.

Getting it right the first time matters. Unstabilized occupancy, thin operating history, and working with a lender that isn't an active agency originator are among the most common reasons otherwise solid multifamily requests lose time, money, and momentum.

YOUR NEXT STEP

How the K2 Lender-Ready System Helps

If you're serious about securing financing for commercial property, investment property, or your business, you owe it to yourself to use a system that's been developed over 26 years of commercial mortgage brokering.

This is the exact system K2 Commercial Finance has used to help clients secure more than $100 million in financing. It is designed to save you time, energy, and effort — and to put you immediately in front of the lenders most likely to fund your specific deal.

For $49.99, you get six months of full access to the complete K2 Lender-Ready System — including:

- **Preferred Lender Directory** — Curated lenders who have shown appetite for commercial real estate and business loans, matched to your property type and loan program.
- **AI Prep Coach** — Dozens of targeted prompts to help you present your transaction more clearly, position yourself as a stronger borrower, analyze lender offers, and negotiate with confidence.
- **Password-protected Deal Room** — Securely store and share documents in one private workspace.
- **Document Library** — A complete collection of documents, forms, checklists, and templates lenders commonly request.
- **Submission Tracker** — Know exactly where each file stands so nothing falls through the cracks.

Even with solid information, success still depends on approaching the right lenders with a properly prepared package. The K2 Lender-Ready System gives you both.

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